****Integration Execution and Synergy Realization**** Integration was structured but incremental. Sinclair created Chesapeake TV as a dedicated vehicle for its 2013 small-market acquisitions and acknowledged the organizational costs of rapid absorption across all functions. By mid-2013, management reported acquired stations performing well in local advertising markets. By 2014, integration extended to systematic news and digital upgrades across all station groups. For the RSN acquisition, synergy realization was projected to begin one year after close, dependent on content substitution rather than operational consolidation.	> "To oversee and operate the COX and Barrington acquisitions, we created Chesapeake TV and brought Steve Pruett in as Chief Operating Officer, to run those stations and to lead our acquisition effort for other small market stations." David B. Amy, Vicepresident and CEO [Apr 2013] > "The only thing that I could point to, and I think this is a point worth making, with our recent acquisitions, we could rightfully be concerned about matriculating new acquisitions into our systems. We enjoyed some outstanding markets in the second quarter from Albany, Cincinnati, Grand Rapids, West Palm Beach, Salt Lake City, Rochester, Harrisburg, Mobile, all of these markets that I just mentioned are new to our resume and had outstanding performances in the second quarter." Steven M. Marks, Vicepresident and COO [Aug 2013] > "And it really will supply upgraded content to the RSNs at a cheaper price – sorry less expensive price, than what's on there today. So starting at about the one-year mark from our acquisition, we expect to start achieving some of the synergies we spoke about. When we announced the RSNs, the $100 million plus of synergies will be powered by content from Stadium, which will be an upgrade from what is on there today outside of the gain the pre and the post and we'll be at a lower cost." Chris Ripley, President and CEO [Nov 2019]
****Deal Financing, Leverage, and Capital Structure**** Sinclair financed its 2013 acquisition wave through layered instruments — equity offerings, restructured term loans, and senior note issuances — with leverage peaking at ~4.6x. Management acknowledged acquisitions consumed more than annual free cash flow, constraining buybacks. A 4-bucket FCF allocation framework governed capital deployment from 2015. The Tribune (2018) and RSN (2019) deals required debt packages of $3.7 billion and over $8 billion respectively, each with a stated de-leveraging target to the 3–4x range within 12 months of close.	> "On April 9, we amended and restated our bank credit agreement to increase the availability under our revolving line of credit, replace our existing term loans and provide more flexibility under certain restrictive covenants. The new credit agreement consists of a $100 million revolving line of credit, which is priced at LIBOR plus 2.25% and due April 2018; $500 million in tranche A term loans priced at LIBOR plus 2.25% and also due April 2018, of which $445 million will be delayed drawn to fund acquisitions and general corporate purposes; and then, finally, $400 million of tranche B term loans priced at LIBOR plus 2.25% with a 75-basis-point LIBOR floor and due April of 2020." Lucy A. Rutishauser, Vice President of Corporate Finance and Treasurer [Apr 2013] > "Of the $263.4 million in free cash flow generated in 2013 and after $21.6 million in taxes, $59 million was used to pay down debt, $56.8 million was paid in dividends to the shareholders and the remainder was used for working capital and station acquisitions. Total net leverage to the holding company at quarter end was 4.61 times and this excludes the VIE and nonrecourse nonguaranteed debt and is net of cash." Lucy A. Rutishauser, Senior Vice President, Corporate Finance & Treasurer [Feb 2014] > "By the end of 2018 and before Tribune, we estimate our two-year average holding company net leverage to be an impressive and historically low 3.1 times to 3.2 times. Pro forma for the Tribune acquisition and before divestitures, we expect total net leverage to close, be at closing in the high 4 times and de-lever quickly to the low 4 times within the first 12 months." Lucy A. Rutishauser, EVP and CFO| [Feb 2018]